

CITY OF TRECE MARTIRES

AGENCY ACTION PLAN and STATUS OF IMPLEMENTATION

Audit Observations and Recommendations

For the Calendar Year 2024

As of October 20, 2025



Ref.	Audit Observations	Audit Recommendations	Agency Action Plan				Status of Implementation	Reason for Non-Implementat ion, If applicable	Action Taken/ Action to be Taken
			Action Plan	Person/De pt. Responsibl e	Target Implementation Date				
					From	To			
Calendar Year (CY) 2024 AAR, Observati on No. 1 Page Nos. 60 to 61	BRS were not prepared and submitted to the COA Auditor on a monthly basis, together with the necessary supporting documents. Furthermore, JEVs to record all valid reconciling items that require adjustments and corrections in the books were only drawn in the subsequent month, contrary to Section	We recommended that the City Mayor require the City Accountant to prepare the BRS and submit copies, with all of the necessary supporting documents, to the Audit Team for verification, within 10 days after the end of each month, as well as to draw JEVs to take up all valid reconciling items requiring adjustments and corrections in the books in their corresponding months, to ensure the reliability and accuracy of the Cash in Bank accounts.	To prepare the BRS and submit copies, with all of the necessary supporting documents, to the Audit Team for verification within 10 days after the end of each month to ensure the reliability and accuracy of the Cash in Bank accounts.	Office of the City Accountant	03/01/ 2025	12/31/ 2025	Implemented		The Office of the City Accountant and the Office of the City General Services are currently updating their records to comply with the AOM. The action taken will be submitted together with the corrected/updated records needed by the COA. The Office of the City Accountant prepared and submitted the BRS, with all the necessary documents,

	74 of the P.D. No. 1445 and COA Circular No. 96-011 dated October 20, 1996, thus, affecting the fair presentation of the financial statements and casting doubt in the reliability and accuracy of the Cash in Bank account's balances totaling P182,040,457.45.								to the Audit Team as scheduled.
CY 2024 AAR, Observati on No. 2 Page Nos. 62 to 66	The reliability and accuracy of the PPE accounts as of December 31, 2024 remained doubtful due to: (a) discrepancies totaling P15,644,743.89 between the accounting records and the RPCPPE; (b) various inconsistencies in the recording of the Land account; (c) inclusion of several items with costs below P50,000.00; (d) inclusion of PPE items with no	We recommended that the City Mayor direct the: a. OIC-CGSO and the City Accountant to reconcile their records of PPE and ensure that differences between the RPCPPE, and the PPE balances presented in the SFPos and accounting records be resolved;	To reconcile Accounting and GSO records of PPE and ensure that differences between the RPCPPE, and the PPE balances presented in the Statement of Financial Position (SFPos) and accounting records will be resolved.	CGSO and Office of the City Accountant	03/01/2025	12/31/2025	Implemented		The Office of the City Accountant and the Office of the City General Services are currently updating their records to comply with the AOM. The action taken will be submitted together with the corrected/updated records needed by the COA. Accounting and GSO records were reconciled.

	acquisition costs; and (e) non-maintenance of PPELCs and RPLC, contrary to the pertinent provisions of the MNGAS for LGUs and Section 4.1 of COA Circular No. 2022-004 dated May 31, 2022.	b. OIC-CGSO and the City Accountant, in collaboration with the OIC-City Assessor's Office, to identify all the parcels of land owned by the City, including the determination of the specific lots with which the survey costs were associated, obtaining copies of proofs of ownership of the aforementioned 11 lots, facilitating the registration and transfer of the land titles of the acquired lots from the previous owners to the City Government, and ensuring that these properties are properly accounted for in the books and the inventory reports; c. City Accountant to reclassify the road lots totaling ₱1,745,600.00	The concerned offices will collaborate to identify all the parcels of land owned by the City, which must be supported by proofs of ownership such as Deeds of Donation and Transfer Certificate of Title (TCT), before taking up these lots in the books. Additionally, they will exert efforts to identify the specific lots with which the survey costs were related and shall be as part of the costs. The CAO will implement the audit	CGSO, City Assessor and Office of the City Accountant Office of the City Accountant	03/01/2025	12/31/2025	On-going reconciliation/identification and verification of land parcels recorded under PPE. Coordination meetings conducted to match physical and recorded properties. Several parcels already confirmed and valued based on updated tax declarations.	Some land parcels are still under verification due to missing documentation or unclear ownership status in prior records.	The City Accounting Office will trace supporting documents pertaining to survey costs. The City Assessor's Office and CGSO are now finalizing the verification of property documents, updating land titles, and coordinating with the Accounting Office for proper recording. The City Assessor's Office coordinated with the City Engineer to verify which parcels underwent survey work. Update the RPCPPE/Property Ledger Cards to record each parcel of land with accurate description, location, and acquisition cost. Adjusting entries were prepared in order to transfer P1,745,600.00 from Land account to
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		from the Land account to the Road Networks account, and the PPE items totaling P93,815.00 to the semi-expendable properties account;	recommendati on to transfer P1,745,600.0 0 from the Land account to the Road Networks account. However, the office will review the PPE items of P93,815.00 since they may be purchased as part of a set.						Road Networks account.
		d. OIC-CGSO, in coordination with the Inventory Committee, to determine the acquisition costs of the 47 PPE items enumerated in the Machinery and Equipment, Motor Vehicles, Furniture and Fixtures and Other PPE accounts; and			03/01/ 2025	12/31/ 2025	Implemented		The items with individual costs below P50,000.00 were found to be integral parts or accessories of existing PPE. These items were therefore retained under the PPE account as component parts, consistent with the provisions of the COA circular No. 2020-006 and Section 7.2 of COA Circular No. 2015-007, which allow capitalization of accessories and components forming part of a PPE item.

		e. City Accountant to ensure that the PPELCs and RPLC are prepared, which include relevant details about the PPE, such as the custody and/or end-user of the PPE and the reference pertaining to the source documents of the recorded PPE as of year-end.	The CAO will comply with the requirements of the MNGAS for LGUs by inserting additional columns for the custody and source documents to the existing subsidiary ledgers.	Office of the City Accountant			Implemented		Additional columns for the custody and source documents were added to the existing subsidiary ledgers.
CY 2024 AAR, Observati on No. 3 Page Nos. 67 to 69	Discrepancies noted between the RPCI and the accounting records totaling P66,791,754.52, and the non-maintenance of complete stock cards of supplies and inventories by the CGSO were contrary to Sections 111 and 122 of P.D. No. 1445 and MNGAS for LGUs. Thus, the validity, existence and accuracy of the year-end balances of the Inventory accounts in the	We recommended that the City Mayor direct the: a.OIC-CGSO to prepare stock cards of all inventory accounts for proper monitoring of receipts, issuance and balances of inventory items, and to conduct the physical count of inventory items, prepare and submit the RPCI to the Auditor concerned not later than July 31 and January 31 of each year for the first and second semesters, respectively; and b. OIC-CGSO and City Accountant to reconcile their Inventory records to					For Implementation		The Office of the City Accountant and the Office of the City General Services are currently updating their records to comply with the AOM. The action taken will be submitted together with the corrected/updated records needed by the COA.
			CGSO and CAO to reconcile their	CGSO and Office of	03/01/ 2025	12/31/ 2025	Implemented		CGSO and CAO has reconciled their inventory records.

	financial statements could not be fully ascertained.	establish the correct and reconciled balances of inventory accounts to be presented in the financial statements.	records of inventory.	the City Accountant					The CGSO has prepared and updated the Stock Cards for all inventory accounts to ensure accurate monitoring of receipts, issuances, and balances of inventory items. The Office has also established the procedures for continuous updating of stock cards and periodic reconciliation with accounting records. (Please see attached summary of submitted RPCI to COA dated July 31, 2025 and Trial Balance reconciled dated May 31, 2025. The CGSO and CAO have conducted joint reconciliation of all inventory records to verify and establish accurate balances of inventory accounts. Differences identified during the reconciliation.
CY 2024 AAR, Observati	Completed and ongoing projects totaling	We recommended that the City Mayor to:							

on No. 4 Page Nos. 70 to 71	P45,841,038.60 were not recorded as payables at year-end, contrary to IPSAS 1 and 19, thereby understating the Accounts Payable, PPE and CIP accounts by P20,181,455.93 and P25,659,582.67, respectively.	a. Instruct the City Accountant in coordination with the CEO, to prepare the necessary adjusting entries to reflect the unrecorded Accounts Payable, the related PPE accounts, and the CIP account of P45,841,038.60, P25,659,582.67, and P20,181,455.93, respectively; and b. Require the CEO to submit to the CAO the Status of Completion of Infrastructure Projects as of year-end to ensure that all unpaid completed and ongoing infrastructure projects are recorded in the books of accounts to reflect the correct balances of Accounts Payable and the counterpart asset accounts at year-end.	City Accountant to prepare the necessary adjusting entries to reflect the unrecorded Accounts Payable and the related CIP account.	CEO and CAO	03/31/2025	12/31/2025	Implemented		The Office of the City Accountant and the Office of the City General Services are currently updating their records to comply with the AOM. The action taken will be submitted together with the corrected/updated records needed by the COA. The City Accountant prepared the necessary adjusting entries to reflect the unrecorded Accounts Payable and the related CIP account.
CY 2024 AAR, Observation No. 5 Page Nos. 71 to 73	The existence and accuracy of Biological Assets account in the books totaling P745,846.20 could not be ascertained due to: (a) erroneous recording of these	We recommended that the City Mayor direct the: a. OIC-City General Services Officer, City Agriculturist and the City Accountant reconcile their records and reports, and ensure that the status, condition, location,	The CGSO, the Office of the City Agriculturist and the CAO to continue reconciling	CGSO, City Agriculturist and City Accountant	03/31/2025	07/31/2025	Implemented		The proper documentation had been executed. Please see attached papers on the biological assets. Biological assets were no longer existing and

	assets at acquisition costs instead of fair market value less cost to sell; (b) composition discrepancies noted in the SL and Report on the Physical Count of Property, Plant and Equipment submitted by the CAO and the CGSO, respectively; and (c) the inclusion of 12 breeding cattle which have been reported deceased as of year-end, while the condition of the remaining breeding stocks were unknown, contrary to Section 111 of P.D. No. 1445 and Paragraphs 16 and 30 of the IPSAS 27.	accountability and/or other relevant information needed are included in such reports for proper recording, monitoring and subsequent derecognition of biological assets in the books of accounts, as necessary; and	their records and reports to ensure that the status, condition, location and accountability and other relevant information are included for the proper monitoring and documentation of the biological assets of the City Government.						had been disposed of were dropped from the book of accounts. (Please see attached Journal Entry Vouchers showing the dropping off biological assets.)
		b. City Accountant to adopt the guidelines in recording the Biological Assets as provided in Paragraphs 16 and 30 of the IPSAS 27 to ensure the proper valuation of the biological assets at each reporting date.	To prepare the necessary entries to properly value and present the Biological Assets in the FS.	City Accountant	03/01/2025	06/31/2025	Implemented		Quarterly report of Biological Assets was prepared and submitted by the City Agriculturist to the CGSO and CAO. This report is the basis of the City Accountant in ensuring that biological sets were properly valued and reported in the books.
CY 2024 AAR, Observati	Payables totaling P2,869,714.44 under the GF and	We recommended that the City Mayor instruct the City Accountant, in coordination	City Accountant to take	City Accountant and other	03/01/2025	12/31/2025	Implemented		Outstanding Payables of GF and TF has been reverted to

on No. 6 Page Nos. 73 to 75	TF which remained outstanding for more than two years and/or undocumented were not reverted to the unappropriated surplus of the GF, contrary to Section 98 of the P.D. No. 1445 and COA Circular No. 76-45, thus casted doubt on the validity and reliability of the said accounts as of December 31, 2024.	with the concerned Offices, to formally inform the claimants of their unclaimed money, with the advice that the amount will be reverted to the unappropriated surplus of the GF of the City in case no proper claim was made within a specified period and consequently, cause the immediate reversion of all dormant payable accounts aged more than two years and/or undocumented to the unappropriated surplus of the GF.	appropriate action to revert the outstanding payables to the unappropriated surplus of the GF three months after informing the claimants about their unclaimed money in writing.	concerned offices					Unappropriated surplus.
CY 2024 AAR, Observation No. 7 Page Nos. 75 to 76	Due to NGAs account totaling P2,600,000.00 had been idle or dormant for more than 13 years due to the absence of documents pertaining to the SA and the purpose for which the transferred funds were intended, contrary to E.O. No. 431, and COA and DBM Joint Circular No. 9-81, thus, the City and/or the	We recommended that the City Mayor direct the concerned implementing offices to trace and communicate with the SA to locate the MOA and adhere to the provision therein relative to the utilization and liquidation of the fund transferred, and/or seek approval from the trustor to revert the balances of these long outstanding dormant accounts to the unappropriated surplus of the GF of the City.	The City Accountant will take the necessary steps to revert the unexpended balance of the due to NGAs account totaling P2,600,000.00 to the unappropriated surplus of the GF after conducting proper	City Accountant and other concerned office	03/31/ 2025	12/31/ 2025	Not implemented	On-going	Trace the trustor agency

	National Government was deprived of additional resources that could have been used to fund priority programs, projects and /or activities.		consultation with concerned implementing offices, or return the amount to the trustor or SA, whichever is appropriate.						
CY 2024 AAR, Observati on No. 8 Page Nos. 77 to 80	Expenditures amounting to P2,412,415.60 for medicines, supplies, training, and meals distributed were charged against the City's LDRRMF for CY 2024, despite their lack of direct relevance to the four thematic areas of disaster risk reduction management outlined in NDRRMC-DBM-DILG JMC No. 2013-1, thus, undermining the fund's intended purpose.	We recommended that the City Mayor instruct the City LDRRM Officer and the Acting City Budget Officer to: a. Submit a resolution or valid justification explaining the reason/s of charging the aforementioned expenses to LDRRMF, otherwise, the expenses shall be disallowed in audit; and b. Refrain from obligating and charging to LDRRMF expenditures which are not directly related to the implementation of disaster risk management activities consistent with the provisions of NDRRMC, DBM and DILG JMC No. 2013-1.					Implemented		A memorandum from the DILG pertaining to the observance of the Holy Week and summer vacation was executed by the City, hence justifying the disbursements for OPLAN Semana Santa 2024 as part of their disaster preparedness and response measures.

CY 2024 AAR, Observati on No. 9 Page Nos. 80 to 85	The City did not take appropriate actions against the contractor despite incurring negative slippage ranging from seven to 34.82 percent for seven infrastructure projects totaling P29,323,315.18, in violation of the pertinent provisions of GPPB Circular No. 03-2019 and R.A. No. 9184, thus hindering the timely completion of the projects and the effective management of the contractor's performance.	We recommended that the City Mayor direct the:						
		a. City Engineer to properly and closely monitor the progress of the City's implementation of infrastructure projects, issue appropriate notices of negative slippage requiring the contractors to submit necessary detailed "catch-up" program and exert efforts to ensure the timely completion of the implemented projects and to ensure compliance with GPPB Circular No. 13 2019 to facilitate the effective management of the contractors' performance;		CEO			For Implementation	
		b. Bids and Awards Committee (BAC) Chairman to ensure the bidders' performance in ongoing government and private contracts before projects are awarded to avoid delays in the implementation of the City's infrastructure projects; and		BAC			For Implementation	
		c. City Accountant to continue withholding retention money until	To continue withholding retention money until	Office of the City Accountant	03/01/2025	12/31/2025	Implemented	Withholding retention money until the work is satisfactorily done and on schedule.

		Work is satisfactorily done and on schedule.	the work is satisfactorily done and on schedule.						
CY 2024 AAR, Observati on No. 10 Page Nos. 85 to 87	Two infrastructure projects totaling ₱14,873,064.00 were granted time extensions despite non-inclusion of the reasons in the grounds enumerated under Annex E of the 2016 Revised IRR of R.A. No. 9184, thus, preventing the City from imposing additional liquidated damages and depriving the public of timely use or benefits from the projects.	We recommended that the City Mayor direct the City Engineer to ensure that the request for extension were duly supported with valid documentation and the reasons for contract time extensions are within the conditions enumerated under Annex E of the 2016 Revised IRR of R.A. No. 9184.		CEO			For Implementation		
CY 2024 AAR, Observati on No. 11 Page Nos. 87 to 91	Disposal of 160 unserviceable properties totaling ₱108,899,029.54 was not undertaken as of December 31, 2024, inconsistent with Section 379 of R.A. No. 7160 and COA-DBM Joint Circular No. 2024-1, thus, exposing the	We recommended that the City Mayor direct the: a. OIC-CGSO and the City Accountant to prepare the duly accomplished IIRUP, including all government properties subject for disposal, accompanied by relevant documents pertaining to the unserviceable properties,	To dispose unserviceable properties to prevent further deterioration and reduction of economic value.	CGSO and Office of the City Accountant	03/01/ 2025	12/31/ 2025	Implemented		Unserviceable properties were disposed. The initial list of unserviceable properties has been submitted to the Disposal Committee

	properties to further deterioration, possibility of loss and reduction in economic value.	as the case may be, such as individual survey reports, lists of missing spare parts, stencils of chassis and engine numbers of motor vehicles, and current photographs showing all sides of the properties, as of December 31, 2024, and submit the same to the Disposal Committee for inspection, appraisal and immediate disposal of the unserviceable properties to prevent further deterioration and reduction of economic value; and b. OIC-CGSO to gather all unserviceable vehicles and other properties in one designated location and adequately safeguard the area to avoid additional damage or loss of the vehicle or its significant parts, that could further deteriorate its value.							for inspection and appraisal as part of the disposal process. The remaining are being finalized and will be submitted upon completion of documentation to facilitate immediate disposal and prevent further deterioration and loss of value.
							For Implementation		The Provincial COA Office has also approved the inspection of the designated area as part of the disposal evaluation process, in coordination with the Disposal Committee. Property security measures have been put in place to maintain the integrity and condition of the stored properties until their final disposal.
CY 2024 AAR,	Four government vehicles acquired	We recommended that the City Mayor direct the OIC-		CGSO			On-going	The subject motor	The CGSO reported that the subject motor

Observation No. 12 Page Nos. 91 to 92	by the City from CYs 2022 to 2023 were not yet registered with the LTO while 19 vehicles had expired registrations which were not yet renewed as of year-end, contrary to Section 5 of Batas Pambansa Bilang 74 and Section 2 of P.D. No. 1445, thus exposed the government to fines and/or penalties for late registration and other possible damages that may arise due to the use of unregistered vehicles.	CGSO to cause the immediate registration of the remaining four unregistered motor vehicles and the renewal of registration of the 19 motor vehicles with the LTO in compliance with Section 5 of B.P. Bilang 74.						vehicles have already been issued to various barangays and are currently being processed for donation to said barangays.	vehicles have already been issued to various barangays for their official use. These vehicles are now being recommended for donation to the concerned barangays. The resolutions of the respective barangay councils signifying their acceptance of the proposed Deed of Donation have been submitted to the City Legal Office for review and preparation of the corresponding documents. Upon execution and approval of the Deeds of Donations, the concerned barangays shall proceed with the registration and transfer of ownership of the vehicles under their respective names with the LTO in compliance with Section 5 of BP Blg. 74.
CY 2024 AAR, Observati	The specific duties, functions and assignments of	We recommended that the City Mayor require the CHRMO, in coordination	Strengthen the reporting and	OCHRMO and Departmen	January 2025	December 2025	Implemented		

on No. 13 Page Nos. 93 to 96	1,692 JO personnel, which represented 71.24 percent of the City's total workforce, were not provided in the contracts between the City and subject workers, while the outputs in their monthly accomplishment reports were stated in general terms, contrary to the pertinent provisions of COA and DBM Joint Circular No. 2, s. 2020, thus, the necessity of their hiring, and propriety and regularity of their payments totaling P63,898,409.26 for CY 2024 could not be fully verified.	with the Department Heads of the City, to: a. Ensure that the contracts of the JO clearly provide their specific job descriptions, duties and expected deliverables against their performance and accomplishments, for the review and evaluation as to the necessity of their hiring and regularity of payments to them; and b. Study the City's manpower needs and hire JO workers based on specific requests from concerned Department Heads or officials who shall certify that his or her office needs the services of a JO worker for an identified piece of work.	evaluation of JO accomplishments viz a viz the duties and responsibilities indicated in their contract to provide better data in decision making in the renewal of their contract and ensure performance optimization of the hired Job Order workers and proper use of government funds.	t/Division Heads of Offices with Job Order Employees					
CY 2024 AAR, Observati on No. 14 Page Nos. 96 to 97	Monthly Report on Sources and Utilization of LDRRMF was not submitted to the Office of the Auditor, contrary to COA Circular No. 2012-002 dated	We recommended that the City Mayor direct the City LDRRM Officer to submit the prescribed monthly Report on the Sources and Utilization of the DRRMF to the COA Auditor, as required by 5.1.5 of COA Circular No. 2012-002, for		CDRRMO			For Implementation		

	September 12, 2012, thus, affecting the prompt evaluation of the LDRRMF plan, accomplishments, and utilization.	proper monitoring and evaluation.							
CY 2024 AAR, Observati on No. 15 Page Nos. 97 to 101	Gender mainstreaming on GAD PPAs was not fully observed as several appropriations for various PPAs were either over-utilized, under-utilized or not utilized at all, contrary to PCW-DILG-DBM-NEDA JMC No. 2013-01, as amended by PCW-DILG-DBM-NEDA JMC No. 2016-01, thus, casting doubt on the gender responsiveness of the GAD PPAs in addressing the identified gender issues and GAD mandates of the City.	We recommended that the City Mayor direct the GAD Focal Person to conduct re assessment of gender mainstreaming by engaging in the activities outlined in Item 3, Section D of PCW-DILG-DBM-NEDA JMC No. 2013-01, as well as take into consideration the results of program and project evaluation in terms of benefits to target beneficiaries, as assessed by the M&E Team, to ensure the gender responsiveness of the GAD PPAs in addressing the City's gender issues and GAD mandates.		GAD Focal Point System			For Implementation		GAD Agenda to be formulated on November 4-7, 2025. We will update COA once concrete action is undertaken.

Agency sign off:

Ma. Jeanette B. Tolentino
ATTY. MA. JEANETTE B. TOLENTINO
City Administrator

Name and Position of Agency Officer

October 20, 2025

Date

Note: Status of Implementation may either be Implemented or Not Implemented